

CENTUM GROUP

AUDITED FINANCIAL RESULTS

The Board of Directors of Centum Investment Company Limited is pleased to announce the audited financial results for year ended 31 March 2014:

CONSOLIDATED AND COMPANY STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 March 2014

	GROUP		COMPANY	
	March 2014	March 2013	March 2014	March 2013
	Kshs'Million	Kshs'Million	Kshs'Million	Kshs'Million
Investment Income	4,883	3,906	1,988	1,914
Operating and Administrative costs	(796)	(520)	(431)	(442)
Finance Costs	(469)	(401)	(462)	(401)
Share of Associate Profits	393	263	-	-
Profit Before Tax	4,011	3,248	1,095	1,071
Profit After Tax	3,055	2,509	1,047	1,034
Other Comprehensive Income	3,576	1,092	5,752	1,417
Total Comprehensive Income	6,631	3,601	6,799	2,451
Earnings Per Share-Basic & diluted	4.54	3.77		

CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION

As at 31 March 2014

	GROUP		COMPANY	
	March 2014	March 2013	March 2014	March 2013
	Kshs'Million	Kshs'Million	Kshs'Million	Kshs'Million
Portfolio value	27,390	17,199	28,603	20,299
Other assets	2,207	1,763	208	1,108
Total Assets	29,597	18,962	28,811	21,407
Borrowings	5,492	4,150	5,492	4,150
Other Liabilities	3,832	1,169	383	1,120
Capital and Reserves	20,273	13,643	22,936	16,137
Total Capital and Liabilities	29,597	18,962	28,811	21,407
NAV per share (Kshs.)			34.47	24.25

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 March 2014

	March 2014	March 2013
	Kshs'Million	Kshs'Million
Opening cash and cash equivalents	1,502	322
Net cash from operations	243	(621)
Net cash from investing activities	(2,147)	(1,335)
Cash from financing activities	(45)	3,148
Exchange (losses)/gains	-	(12)
Closing cash and cash equivalents	(447)	1,502

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the year ended 31 March 2014

	March 2014	March 2013
	Kshs'Million	Kshs'Million
Share Capital	333	333
Share Premium	590	590
Revaluation Reserve	6,170	2,828
Retained Earnings	12,912	9,892
NCI	268	-
Total	20,273	13,643

The financial data presented above are selected extracts (without material adjustment) of the audited financial results. For an in-depth analysis of performance, please visit www.centum.co.ke



INDEPENDENT AUDITOR'S REPORT ON THE SUMMARY FINANCIAL STATEMENTS TO THE SHAREHOLDERS OF CENTUM INVESTMENT COMPANY LIMITED

The accompanying summary financial statements of Centum Investment Company Limited (the "Company") and its subsidiaries (together, the "Group"), which comprise the summary consolidated statement of financial position at 31 March 2014 and the summary consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, together with the summary statement of financial position of the company standing alone at 31 March 2014 and the summary statement of comprehensive income of the company for the year then ended, are derived from the audited financial statements of the Group for the year ended 31 March 2014. We expressed an unmodified audit opinion on those financial statements.

The summary financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. Reading the summary financial statements, therefore, is not a substitute for reading the audited financial statements of the Group.

Directors' responsibility for the summary financial statements

The directors are responsible for the preparation and fair presentation of a summary of the audited financial statements in accordance with the Articles of Association of the Company.

Auditor's responsibility

Our responsibility is to express an opinion on the summary financial statements based on our procedures, which were conducted in accordance with International Standards on Auditing (ISA) 810, "Engagements to Report on Summary Financial Statements".

Opinion

In our opinion, the summary Group financial statements derived from the audited financial statements of Centum Investment Company Limited for the year ended 31 March 2014 are consistent, in all material aspects, with those Group financial statements.

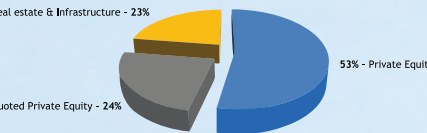
The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Richard Njoroge – P/No 1244.

CENTUM INVESTMENT REVIEW OF PERFORMANCE FY2014

A. Review of FY2014 performance

In the FY2014 the Company recorded a Kes 6.8 billion increase in net worth, representing a Net Asset Value (NAV) growth of 42% to Kes 22.9 Billion as at 31 March 2014. Over the five year strategy period, the cumulative increase in the book value of the shareholder funds was 288%.

Portfolio return by asset class Fy 2013-2014



Private Equity contributed 53% of total return, Quoted Private Equity 24% while Real Estate and Infrastructure accounted for the balance of 23%.

Market value of shareholder funds grew from Kes 5.6 Billion in March 2009 to Kes 24.3 Billion in March 2014 representing 334% growth in value generated to shareholders. Every shilling invested in Centum in March 2009 was worth Kshs 4.34 in March 2014.

Consolidated profit after tax increased by 22% to Kes 3 Billion from Kes 2.5 Billion in prior year. This performance was largely driven by a 25% increase in investment income. An improvement in the performance of the associate companies resulted in a 49% increase in share of associate earnings.

Costs in the year were at 1.5% of total assets which is well within our 2.5% ceiling.

Other comprehensive income increased by 227% to Kes 3.6 Billion from Kes 1 Billion representing the growth in unrealised value of Centum's equity portfolio.

In line with the strategy and policy adopted by shareholders, the Board does not recommend payment of a dividend.

B. Performance against strategy

The year ended 31 March 2014 marks the close of our strategy period; Centum 2.0. We had set key targets for the period and are pleased to note our outperformance against these targets.

i. Performance

19% average outperformance against the NSE over 5 Years			
Year	Centum NAV Return	NSE 20 Return	Centum Outperformance
2010	56%	43%	13%
2011	37%	-4%	41%
2012	9%	-13%	22%
2013	18%	44%	-26%
2014	42%	2%	40%
Geometric Average	31%	12%	19%

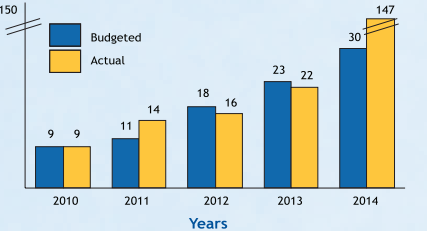
The book value of shareholders wealth grew by Kes 17 billion from Kes 5.9 Billion to Kes 22.9 Billion, this translated to a 288% growth. The NAV growth exceed the strategy target by 9.5%.

Grew NAV by 288% over the period



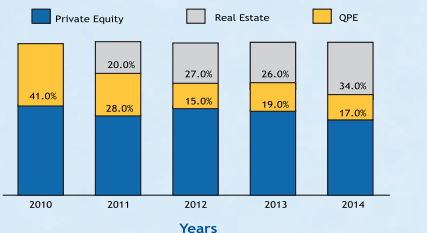
ii. Grow total Assets Under Management to Kes 30 Billion

We grew the value of Centum's portfolio by Kes 23.4 Billion and third party funds by Kes 117 Billion. Total assets under management as at 31 March 2014 stood at Kes 147Billions



iii. Diversification

In line with our mission of providing access to inaccessible portfolio, our exposure to Private Equity and Real Estate and Infrastructure has increased from 59% to 83% during the strategy period.

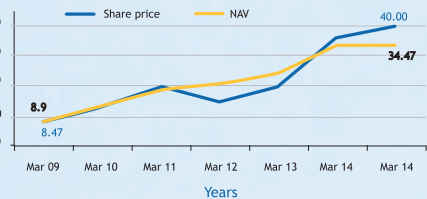


Our geographical diversification target was to have 50% of our portfolio outside of Kenya by the close of the strategy period. We have progressively increased our exposure outside of Kenya from less than 1% to 19% at the close of the strategy period. The 19% represents assets of Kes 5.3 Billion compared to assets of Kes 0.04 Billion at the beginning of the strategy period.

iv. Brand

Delivery to promise through people was our key brand focus during the strategy period. This has seen us grow our shareholder wealth, which in turn has been reflected in our share price.

Our share has been one of the best performing counters in the stock exchange in this financial year having recorded an 83% appreciation from Kes 19.9 as at 31 March 2013 to Kes 36.5 at the close of the financial year.



Our passion for excellence & delivery to promise saw us feted with several awards;

- Financial Reporting Excellence (FiRe) Awards 2013: Overall Winner East Africa. This was in addition to Overall Winner - Kenya, Winner - Industrial Commercial & Services category, Winner - Listed Entities Category and 1st Runners up - IFRS Category.
- Champions of Governance Awards: 1st Runners up Finance & Investment and 1st Runners up Certified Company Secretary of the year.
- Wharton Club for Africa (WCA) Award: Centum CEO, James Mworia was awarded Africa CEO of the year award at the WCA Africa Investment Summit held in Nairobi earlier in November.
- Acquisition International Awards: East Africa Investment business of the year.

2009 - 2014 strategy

During the 2009-2014 strategy period, we re-focused our business model from being passive investors to active portfolio managers. To support this change in focus, we established three distinct subsidiaries which supported the growth of Centum in the period and all of which have been profitable in the first year of operations.

- Athena Properties Limited was established with the mandate to execute Centum's real estate strategy and has built capacity to provide end-to-end real estate development solutions, not only for Centum, but also for third parties.
- Centum Asset Managers was established with a mandate to manage Centum's quoted investments. The company received a fund management license from the Capital Markets Authority ("CMA") in May 2013. In the first year of operation, Centum Asset Managers reported a profit after tax of Kes 134 million.
- Centum Shared Services Limited ("CSSL") was established to provide all non investment business solutions to the entire Centum Group as well as related parties. CSSL focuses on creation of a Group centre of excellence while allowing the various entities within the group to focus on core business.

BUSINESS REVIEW

1. Real Estate & Infrastructure Business line

i. Two Rivers update

Funding

Following the successful execution of the real estate strategy in our Two Rivers development and in line with our vision to act as an investment channel to quality assets in Africa, we were able to obtain investment commitments from two institutional investors, who will invest USD 75 million for a 42% equity stake in Two Rivers Development. This transaction will value Centum's stake in Two Rivers at US\$ 104Mn (Kshs 9.0Billion), up from an initial investment of slightly over US\$ 15 million in year 2011. In addition, we secured US\$ 60 Million (Kes 5.2 Billion) in 10-year long term debt funding from The Co-operative Bank of Kenya as project finance for the funding of the Two Rivers Mall. We are pleased to report that with this

equity and debt financing, the first phase of the Two Rivers project is now substantially funded.

We are in advanced discussions with a number of investors who are interested in participating alongside us in a number of joint venture developments within Two Rivers and look forward to the realization of the Two Rivers vision of a premier destination in this region.

Project update

The construction of infrastructure in Phase 1 of the Two Rivers development is progressing quite well and on schedule for commissioning at the end of June 2015. The infrastructure includes roads, power, water, sewer, ICT and gas reticulation within the development. Also included in the infrastructure, is the building of an overpass on Limuru Road to provide an underpass into the Two Rivers Development and dualling of Limuru Road for a stretch of 1 km along our development. This will ease entry into our development while ensuring minimal disruption of traffic on Limuru Road. We will also be building a highway through our development connecting two major roads - Limuru Road and the Northern bypass. The building of an overpass and dualling of Limuru Road is the first ever such undertaking by a private enterprise in this region.

Phase 1 of the development also includes the Two Rivers Lifestyle Centre, offering 900,000 sq.ft of gross lettable area ("GLA"), will be the largest retail mall in Sub Saharan Africa (ex. South Africa) and is on schedule for opening in October 2015. The Two Rivers Lifestyle Centre will be a unique retail, entertainment and lifestyle centre with its creative design featuring open spaces and a waterfront for lavish dining and entertainment activities. Over 40% of the retail outlets will comprise international brands that are not currently present in Kenya, offering unique and exciting new products. Already, Carrefour has signed up as anchor tenant. Carrefour is the 4th largest retail group in the world, with 1,421 Hypermarkets established in 34 countries. Carrefour will be occupying 110,000 sq.ft of the Mall to establish a hyper market, which will be the largest of its kind in the region and will reinforce the Two Rivers positioning as a destination. There will be an additional 160 retail outlets located within the Mall when fully occupied, which will provide the widest variety of retail outlets in the region. Approximately 50% by area of the 670,000 sq.ft retail GLA is pre-let and a further 20% is in final negotiations. 10% of the 230,000 sq.ft of office towers above the Centre is pre-let. An estimated 45% of the total GLA will be occupied by new international brands.

To create opportunities for other investors to participate in this exciting first-of-a-kind project, Two Rivers Development Limited is in the process of converting Two Rivers into a Development Real Estate Investment Trust (D-REIT) and we anticipate receiving approval for the same from the Capital Markets Authority in the present year.

ii) Pearl Marina Project

Approvals

Our Pearl Marina project in Entebbe, Uganda is set on 361 acres of land with breathtaking views of the Lake Victoria. Our vision for this project is to develop a premium world-class destination address recognized as the number one tourism destination in East Africa and beyond. Pearl Marina will have unparalleled waterfront development that will incorporate an up market resort, public marina, water related leisure activities, retail centre, vibrant public square, residential apartments and villas.

The project is in the last stages of the planning process and we have so far received 90% approvals for the project. The local planning council (Wakiso Local Government) has approved the Pearl Marina master plan and recommended the same to the National Physical Planning Board for approval, while NEMA has issued Environmental Impact Assessment Permit for the master plan. The buildings plans have been submitted to local planning council for approval

Update on the project

The concept designs Phase One of the development have been finalized and will consist of a boutique luxury hotel with residences, club house, conference rooms, a business centre, wellness centre, fully equipped gym, bar & restaurant, wide range of sports and recreational amenities and a mix of 2,3,4 bedroom signature villas. These facilities will be supported by high quality centrally managed sustainable infrastructure.

The pre-qualification process of contractors is currently underway and Phase 1 scheduled to break ground during the 2014 calendar year. The development has so far received significant market interest from potential off takers.

iii) Investment in Broll East Africa

We entered into a joint venture with Broll Property Group, the largest commercial property services group in Africa, in the establishment of Broll East Africa. The partnership with Broll gives Centum

the opportunity to provide the last piece real estate development solutions through offering real estate management services. Centum has 30% interest in the joint venture.

Real Estate Strategy

Following the success of the Two Rivers project over this strategy period, we intend to developing similar large-scale mixed use developments in Nairobi and in other major cities across the region.

2. Private Equity Business line

Implementation of value creation strategies was key to the 32% year on year growth of the Private Equity portfolio during the strategy period. Portfolio value grew by 292% from Kes 3.6 Billion in 2009 to 14.1 Billion as a March 2014 mainly as a result of improvement of underlying performance of the investee companies. During the strategy period Centum invested in a 35% stake in Platinum Credit, an East African microfinance institution.

A key value creation strategy implemented was the establishment of Almasi Beverages Ltd, which was formed following the merger of Rift Valley, Mt. Kenya and Kisii Bottlers. Almasi commenced operations as a fully independent company and recruited a highly qualified team to manage the company.

3. Quoted Private Equity Business line

Our QPE businesses delivered an average return of 28% during the strategy period, effectively outperforming the NSE by 16%.

4. Asset Management

In the year, two asset management businesses became part of Centum Group:

- Centum Asset Managers ("CAM"), which was a spin-off from our Quoted Private Equity business line and licensed by CMA as a fund manager. CAM was among the first asset managers to receive a REIT manager license from CMA. It is now seeking to introduce a D-REIT and I-REIT that will go a long way in developing our stock market offering and benefits various stakeholders in the economy. CAM has also obtained a license from the retirement Benefits Authority ("RBA") to manage pension funds. In addition, CAM is in the tail end of introducing an Africa-Focused Collective Investment Scheme.
- Centum completed the acquisition of 73.35% of Genesis Kenya Investment Management Limited - the second largest fund manager in Kenya- effectively bringing an additional Kes 116B worth of third party assets under our management

2014 - 2019 STRATEGY

31 March 2014 marked the close of Centum 2.0. In April 2014, the Board of Centum approved the new strategy for the five year period to March 31st, 2019. (Centum 3.0)

Centum 3.0 shifts our focus development of investment grade opportunities in eight (8) key sectors; Real Estate, Power, Financial Services, Education, Information Communication Technology, Fast moving consumer goods, Healthcare and Education.

We will focus on developing investment grade opportunities in Eight key sectors; Real Estate, Power, Financial Services, Education, Information Communication Technology, Fast moving consumer goods, Healthcare and Education.

Our key targets for Centum 3.0 are as follows;

- Generate in excess of thirty five percent (35%+) annualized return over the strategic period.
- Focus by developing, scale and growing investment capabilities in the eight new sectors
- Scale up the group by growing Centum portfolio value to Kes 120 Billion by 2019 and total Asset under management (AUMs) to Kes 720 Billion.
- Brand by delivering through people and hence develop teams with sector expertise.
- Costs containment by maintaining costs below 2.0% of total assets.

The execution of our strategy will largely be funded from internally generated funds. The Board of Directors has reviewed the dividend policy and has made a decision to extend the Zero dividends policy into the next five year strategy period ending 2019. The retained dividends will finance the new investments, which the Board believes will yield market beating returns.

We are confident that we will achieve the ambitious strategic objectives given our track record and delivery to promise as demonstrated in our achievement of each of the strategic target set for the 2009-2014 strategy period..

By Order of the Board

James Mworia, CFA, CGMA
Managing Director